Ryan A. Kent (SBN 169810)
LAW OFFICE OF RYAN KENT
24 Mitchell Boulevard
San Rafael, CA 94903
(415) 479-4356
ryan@ryankentlaw.com

Attorney for Plaintiff
Michael Hagele

ELECTRONICALLY
FILED
Superior Court of California,
County of San Francisco
08/05/2024
Clerk of the Court
BY: YOLANDA TABO
Deputy Clerk

SUPERIOR COURT OF THE STATE OF CALIFORNIA

IN AND FOR THE COUNTY OF SAN FRANCISCO – UNLIMITED JURISDICTION

MICHAEL HAGELE, Plaintiff, vs. MATTHEW KAHN, NEIL RIDEOUT, and DOES 1-10, Inclusive. Defendants.	Case No. CGC-24-614474 MEMORANDUM OF POINTS AND AUTHORITIES IN OPPOSITION TO SPECIAL MOTION TO STRIKE Date: August 19, 2024 Time: 9:30 am Dept.: 302

TABLE OF CONTENTS

I. INTRODUCTION…….....1

II. FACTUAL BACKGROUND……1

1. The Parties' Treatment of Personal Uses of Company Funds as Membership Distributions……2

2. Kahn's Repudiation of His Agreement to Purchase an Additional 10% Membership Interest in the Company……….3

3. Threat to Publish False Allegations Regarding Hagele's Personal Use of Company Funds Without Defendants' Consent, Recording Such Personal Expenditures as Business Expenses and Failing to Timely Make Required Equalizing Payments……….4

4. Effect of Extortionate Threats on Hagele……..5

III. LEGAL DISCUSSION…….6

A. BURDEN OF PROOF TO OVERCOME ANTI-SLAPP MOTION TO STRIKE……...6

1. Defendants' threat to publish the false allegations in the Proposed Complaint accusing Hagele of unethical and criminal conduct is sufficient to support a statutory action for rescission based upon menace……….7

2. Hagele has submitted facts sufficient to establish a prima facie case that Defendants knew their allegations that Hagele used Company funds for personal uses without their consent, recorded such personal uses of Company funds as business expenses and failed to timely make the required equalizing payments were false………..8

3. The allegations in Hagele's Complaint do not constitute admissions that the allegations contained in Defendants' Proposed Complaint are true……….9

4. Hagele has submitted sufficient facts to support a prima facie case that he would not have consented to the transaction in the absence of Defendants' threat to publically disclose the false allegations accusing him of unethical and criminal conduct………11

5. The litigation privilege precludes *liability for damages in tort*, and does not apply to the instant statutory claim for rescission based upon menace, which sounds in contract…….12

TABLE OF AUTHORITIES

Cases

Brighton Collectibles, LLC v. Hockey (2021) 65 Cal.App.5th 99……...……6

Chan v. Lund (2010) 188 Cal.App.4th 1159……..……11

Deutsche Bank National Trust Co. v. Pyle (2017) 13 Cal.App.5th 513……..14, 15

Edwards v. Centex Real Estate Corp. (1997) 53 Cal.App.4th 15……..……15

Fuhrman v. California Satellite Systems (1986) 179 Cal.App.3d 408……..……..8

Hardin v. PDX, Inc. (2014) 227 Cal.App.4th 159……...……6

In re Marriage of Gonzalez (1976) 57 Cal.App.3d 736……11

Lazar v. Hertz Corp. (1999) 69 Cal.App.4th 1494……..6

Leeper v. Beltrami (1959) 53 Cal.2d 195……8

Miller v. Walden (1942) 53 Cal.App.2d 353……8

Odorizzi v. Bloomfield Sch. Dist. (1966) 246 Cal.App.2d 123…….……...……8

Olson v. Doe (2022) 12 Cal.5th 669……6

O'Neill v. Spillane (1975) 45 Cal.App.3d 147…….14

Reyes v. Beneficial State Bank (2022) 76 Cal.App.5th 596…….14

Soukup v. Law Offices of Herbert Hafif (2006) 39 Cal.4th 260……...6, 7

Star Pacific Investments, Inc. v. Oro Hills Ranch, Inc. (1981) 121 Cal.App.3d 447……..15

Stevens v. Superior Court (1999) 75 Cal.App.4th 594…….6

Super 7 Motel Associates v. Wang (1993) 16 Cal.App.4th 541……..14

Tran v. Nguyen (2023) 97 Cal.App.5th 523……7, 8, 9, 12, 14, 15

Weeden v. Hoffman (2021) 70 Cal.App.5th 269……..….12, 13, 14, 15

Statutes

Civil Code § 47……14

Civil Code § 1717……14

Civil Code § 1566……..……7

Civil Code § 1567……7, 8, 15

Civil Code § 1568……11

Civil Code § 1570……7, 14

Civil Code § 1692……..15

Civil Code § 3412……14

Code Civ. Proc. § 425.16……..….6

I. INTRODUCTION

At a time when Plaintiff Michael Hagele ("Hagele" or "Plaintiff") was particularly vulnerable to threats of injury to his character, his business partners, Defendants Matthew Kahn ("Kahn") and Neil Rideout ("Rideout") (collectively "Defendants"), threatened to file a civil action against him that contained false and irrelevant allegations accusing Hagele of unethical and criminal conduct in connection with the operation of their business if Hagele did not sell Defendants his entire interest in the business for far less than it was worth ("the Proposed Complaint"). In order to avoid the injury to his character that he feared would occur were the Proposed Complaint to be made public, Hagele complied with Defendants' extortionate demand.

Hagele filed the instant Complaint seeking a judicial declaration of rescission of the transaction based upon menace. Defendants responded with the instant anti-SLAPP motion to strike, arguing that Hagele cannot show that they knew the allegations in the Proposed Complaint were false. This argument fails because Hagele has submitted facts sufficient to support a prima facie case that Defendants knew the menacing allegations were false. In addition, menace can be found where the injurious allegations in a threatened complaint are irrelevant to the claims alleged, regardless of their truth or falsity.

Defendants also argue that Hagele cannot show the threatened public disclosure of the allegations would so adversely affect his reputation as to constitute menace. This argument fails because, in order to constitute menace, all that need be shown is that the wrongful threat is the operating or controlling cause compelling the victim's consent to the transaction. This is a subjective standard. Hagele has submitted sufficient facts to support a prima facie case that he would not have consented to the transaction in the absence of Defendants' threats to publically disclose the false and irrelevant allegations accusing Hagele of unethical and criminal conduct in connection with the operation of their business.

Defendants also argue that Hagele's claim for rescission is barred by the litigation privilege. This argument fails because the litigation privilege only precludes liability for damages in tort and does not apply to statutory claims for rescission, which sound in contract and do not seek tort damages.

II. FACTUAL BACKGROUND

1. The Parties' Treatment of Personal Uses of Company Funds as Membership Distributions.

In 2004, Hagele and Kahn formed Courtyard Montgomery, LLC, a member managed LLC doing business as the Cigar Bar and Grill ("the Company"). (Dec. of Hagele at ¶ 1.) Around 2006, Rideout purchased a 15% interest in the Company from Kahn and Hagele. An exhibit to the Operating Agreement following Rideout's purchase set forth Hagele, Kahn and Rideout's respective membership interests at 60%, 25% and 15%. (Dec. of Hagele at ¶ 2.)

Once the Company became profitable to the point that there was sufficient income and reserves for membership distributions. Kahn, Rideout and Hagele discussed treating their personal expenditures on the Company debit cards or other personal uses of Company funds as membership distributions. (Dec. of Hagele at ¶ 6.) During these discussions, Kahn explained how he could make sure the parties' membership distributions when they were treating their personal expenditures on the Company debit cards or other personal uses of Company funds as membership distributions were in proportion to their respective membership interests (60%, 25% and 15%). (Dec. of Hagele at ¶ 7.) During these discussions, Kahn explained that, as part of keeping the books of the Company, he could periodically total each of the parties' personal expenditures on the Company debit cards or other personal uses of Company funds and then add these amounts together to get a combined total. This amount would then be used as the total membership distribution during that period. Then Kahn would divide this total in accordance with the parties' respective membership interests to determine what they each should have received as a distribution. (Dec. of Hagele at ¶ 8.) During these discussions, Kahn explained that, if Hagele's personal uses of Company funds during the accounting period was greater than what he should have received as a distribution, he would directly pay Kahn and Rideout an amount sufficient to satisfy their proportional right to a distribution. (Dec. of Hagele at ¶ 9.)

For example, as explained by Kahn, if the total of the parties' personal uses of Company funds was $10,000, the required distribution to each of them would be $6,000 to Hagele (60%), $2,500 to Kahn (25%) and $1,500 to Rideout (15%). If Hagele had used $7,000 in Company funds for personal uses during the accounting period, he would be required to distribute the excess $1,000 to Kahn and Rideout in the amount necessary to bring their distribution up to $2,500 and $1,500, respectively. (Dec. of Hagele at ¶ 10.)

Following these discussions, the parties all agreed that they would treat their personal expenditures on the Company debit cards or other personal uses of Company funds as membership distributions in the manner Kahn suggested. Following that agreement, the parties treated their personal expenditures on the Company debit card or other personal uses of Company funds as membership distributions, although Hagele's personal expenditures were historically greater than Kahn or Rideout's. Kahn and Rideout explicitly consented to Hagele treating his personal use of Company funds as membership distributions and they likewise treated their personal use of Company funds as membership distributions. Kahn and Rideout willingly participated in this arrangement without any objection. Neither Kahn nor Rideout ever complained or raised concerns about this arrangement to Hagele. (Dec. of Hagele at ¶ 11.)

Kahn was the general manager of the Company and responsible for its day to day operations, including bookkeeping. Kahn was the individual who would assign accounting categories to credit card expenditures and other uses of Company funds. (Dec. of Hagele at ¶ 3.) Kahn was the individual who would determine which expenditures of Company funds by the parties were for personal use. Kahn was also the individual who would periodically total the personal uses of Company funds and determine the membership distribution due to each member for the accounting period, as well as the amount Hagele was required to pay to Kahn and Rideout to "true up" the membership distributions for that period. (Dec. of Hagele at ¶ 12.)

Kahn would only total the personal uses of Company funds and determine the membership distribution due to each of the members infrequently, often not doing so for a year or two. When that occurred, Kahn would present Hagele with bank statements with handwritten notes reflecting Kahn's calculations of the amounts due to him and Rideout. Hagele would then always promptly pay the amounts requested by Kahn. Neither Kahn nor Rideout ever complained about a lack of timely equalizing payments by Hagele. Usually, any amounts paid by Hagele to "true up" the membership distributions would be made from his share of cash door cover charges. (Dec. of Hagele at ¶¶ 13-14.)

2. Kahn's Repudiation of His Agreement to Purchase an Additional 10% Membership Interest in the Company.

In early 2019, Kahn and Hagele orally agreed that Kahn would purchase an additional 10% membership interest in the Company from Hagele for $115,000, with the purchase price to

be deducted from Kahn's share of the equalizing payments Hagele would otherwise have been obligated to make to Kahn. This amount was later reduced to $100,000. It was agreed that, following the purchase, the parties' respective membership interests in the Company would be 50% Hagele, 35% Kahn and 15% Rideout. Kahn and Hagele's agreement regarding Kahn's purchase of an additional 10% membership interest in the Company from Hagele was never memorialized in a writing executed by both parties. (Dec. of Hagele at ¶ 15.)

By January of 2020, Kahn's purchase of the additional 10% membership interest in the Company from Hagele was fully funded by deducting $100,000 from Kahn's share of the equalizing payments Hagele would have otherwise been obligated to make to Kahn. Kahn was the individual who kept track of this amount. (Dec. of Hagele at ¶¶ 16-19.)

In June of 2020, following the commencement of the Covid-19 pandemic, Kahn repudiated the agreement with Hagele regarding Kahn's purchase of an additional 10% membership interest in the Company from Hagele and demanded Hagele pay him the $100,000 Kahn had deducted from the equalizing payments he otherwise would have received. Hagele refused because he considered the membership purchase agreement legally binding. This was the only good faith dispute between the parties. (Dec. of Hagele at ¶ 20.)

3. Threat to Publish False Allegations Regarding Hagele's Personal Use of Company Funds Without Defendants' Consent, Recording Such Personal Expenditures as Business Expenses and Failing to Timely Make Required Equalizing Payments.

On October 6, 2020, Joseph Ehrlich, Esq. ("Ehrlich") of Losch Ehrlich & Meyer sent an email to Hagele stating in part as follows: "I left you a couple of voicemail messages advising that Matt disputes that he purchased an additional 10% of the LLC from you for approximately $115,000. We agree with Matt's position. Matt has also raised additional issues regarding your use of the company credit card." (Dec. of Hagele at ¶ 21.) Despite ongoing discussions, Hagele refused to acknowledge that his agreement with Kahn regarding Kahn's purchase of an additional 10% membership interest in the Company was not legally binding and pay the $100,000 deducted from the equalizing payments Kahn had received. (Dec. of Hagele at ¶ 22.)

On March 29, 2021, Kahn sent an email to Hagele with an attached proposed Complaint prepared by Ehrlich, which Defendants threatened to file if their demands were not met ("the Proposed Complaint"). Paragraphs 19 through 33 of the Proposed Complaint confirmed Kahn's

agreement with Hagele regarding Kahn's purchase of an additional 10% membership interest in the Company from Hagele, as well as Kahn's subsequent repudiation thereof. The Proposed Complaint sought a judicial declaration that Kahn's purchase of an additional 10% membership interest in the Company from Hagele was not legally binding and, presumably, a return of the agreed purchase price. In the alternative, the Proposed Complaint sought a judicial declaration of the parties' respective membership interests and associated voting rights. (Dec. of Hagele at ¶¶ 23-26.)

However, the Proposed Complaint contained additional allegations unrelated to the dispute regarding Kahn's purchase of an additional 10% membership interest in the Company from Hagele or the parties' respective membership interests and associated voting rights. The Proposed Complaint contained false and irrelevant allegations that Hagele recorded his personal uses of Company funds as business expenses, or somehow directed, pressured or coerced Defendants into doing so. (Dec. of Hagele at ¶¶ 27-37.) The Proposed Complaint contained the false allegations that Hagele used Company funds for personal uses without Kahn and Rideout's consent in breach of his fiduciary duties. (Dec. of Hagele at ¶¶ 27-38.) The Proposed Complaint contained false allegations that Hagele failed to timely make the required equalizing payments to Kahn and Rideout. (Dec. of Hagele at ¶¶ 27-41.)

4. Effect of Extortionate Threats on Hagele.

The false allegations that Hagele 1) used Company funds for personal uses without Defendants' consent in breach of his fiduciary duties, 2) that Hagele recorded such personal uses of Company funds as business expenses, and 3) that Hagele failed to timely make the required equalizing payments, accuse Hagele of unethical (breach of fiduciary duty/conversion) and criminal conduct (tax evasion/criminal conversion) that would be injurious to Hagele's character and subject him to possible media scrutiny as well as criminal and California State Bar investigations, with resultant loss of employment. (Dec. of Hagele at ¶ 42.) Kahn and Rideout did not threaten to publish these allegations in support of a good faith dispute with Hagele. Kahn and Rideout only threatened to publish these allegations in order to coerce Hagele to sell his 50% membership interest in the Company to Kahn and Rideout for much less than it was worth. (Dec. of Hagele at ¶ 43.)

On May 13, 2021, in order to prevent the public disclosure of the Proposed Complaint containing the false allegations accusing Hagele of unethical and criminal conduct, Hagele agreed to sell his entire 50% membership interest in the Company to Kahn and Rideout in for much less than it was worth ("the transaction"). The only reason Hagele agreed to the transaction was because of the threats by Kahn and Rideout to file the Proposed Complaint. (Dec. of Hagele at ¶¶ 44-47.)

III. LEGAL DISCUSSION

A. BURDEN OF PROOF TO OVERCOME ANTI-SLAPP MOTION TO STRIKE

"We consider an anti-SLAPP motion in a two-step process. "First, the court decides whether the defendant has made a threshold showing that the challenged cause of action is one arising from protected activity." " *Hardin v. PDX, Inc.* (2014) 227 Cal.App.4th 159, 165. "If the court finds such a showing has been made, it then determines whether the plaintiff has demonstrated a probability of prevailing on the claim." *Hardin*, *supra*, at 165. In the case at bench, Hagele concedes that the first prong of Code Civ. Proc. § 425.16 is satisfied. However, as discussed below, Hagele has presented facts sufficient to support a "probability of prevailing" on his statutory action for rescission based upon menace.

In an anti-SLAPP motion to strike, "[t]he moving party prevails by "defeat[ing]" the "claim as a matter of law" (citation omitted) in "a summary-judgment-like procedure." *Olson v. Doe* (2022) 12 Cal.5th 669, 679. "To succeed in opposing a special motion to strike, the nonmoving party must "demonstrate both that the claim is legally sufficient and that there is sufficient evidence to establish a prima facie case with respect to the claim." " *Olson*, *supra*, at 679. "For the purpose of determining the effect of a complaint, its allegations are liberally construed, with a view toward substantial justice." *Stevens v. Superior Court* (1999) 75 Cal.App.4th 594, 601. "We give the complaint a reasonable interpretation, reading it as a whole and viewing its parts in context." *Lazar v. Hertz Corp.* (1999) 69 Cal.App.4th 1494, 1501.

In determining whether plaintiff presented evidence sufficient to establish a prima facie case "it is "the court's responsibility ... to accept as true the evidence favorable to the plaintiff...." *Soukup v. Law Offices of Herbert Hafif* (2006) 39 Cal.4th 260, 291. The Court is also required to "indulg[e] in every reasonable inference to be drawn from that evidence." *Brighton Collectibles, LLC v. Hockey* (2021) 65 Cal.App.5th 99, 104. The Court "does not *weigh* the credibility or

comparative probative strength of competing evidence." *Soukup*, *supra*, at 291. "The plaintiff need only establish that his or her claim has "minimal merit" (citation omitted) to avoid being stricken as a SLAPP." *Soukup*, *supra*, at 291.

1. Defendants' threat to publish the false allegations in the Proposed Complaint accusing Hagele of unethical and criminal conduct is sufficient to support a statutory action for rescission based upon menace.

"Civil Code sections 1566, 1567, and 1570 establish a right to rescission in cases in which a person's consent to a transaction was obtained by "menace": threats of confinement, of unlawful violence to the person or his or her property, or of injury to a person's character." *Tran v. Nguyen* (2023) 97 Cal.App.5th 523, 525. "This is effectively the civil version of extortion." *Tran*, *supra*, at 525. "The concept of coerced consent is at the heart of extortion." *Tran*, *supra*, at 529. "Civil Code section 1566 provides a civil remedy when a person's consent to a transaction is obtained through wrongful means: "A consent which is not free is nevertheless not absolutely void, but may be rescinded by the parties, in the manner prescribed by the Chapter on Rescission." " *Tran*, *supra*, at 529-530. "Civil Code section 1567 expands the analysis: "An apparent consent is not real or free when obtained through: [¶] 1. Duress; [¶] 2. Menace; [¶] 3. Fraud; [¶] 4. Undue influence; or; [¶] 5. Mistake." " *Tran*, *supra*, at 530. "Civil Code section 1570 defines "[m]enace" as the threat of duress, of "unlawful and violent injury to [a] person or property," or of "injury to the character of [a] person." " *Tran*, *supra*, at 530. "These statutes provide a remedy of rescission in cases where a party's consent to a transaction was obtained through threats of injury to a person's character." *Tran*, *supra*, at 530.

Defendants' allegations in the Proposed Complaint falsely accuse Hagele of using Company funds for personal uses without their consent in breach of his fiduciary duties, illegally recording such personal expenditures as business expenses and failing to timely make the required equalizing payments in breach of his fiduciary duties. These false allegations accuse Hagele of unethical conduct (breach of fiduciary duty/civil conversion) and criminal conduct (tax evasion/criminal conversion) that would be injurious to Hagele's character and subject him to possible media scrutiny as well as criminal and California State Bar investigations if made public, with resultant loss of employment. Accordingly, the threat to publish these false allegations is a sufficient threat of injury to Hagele's character to support a statutory action for

rescission based upon menace. *Tran*, *supra*, at 530. "However denominated (e.g., extortion, menace, duress), our Supreme Court has recognized a cause of action for the recovery of money obtained by the wrongful threat of criminal or civil prosecution." *Fuhrman v. California Satellite Systems* (1986) 179 Cal.App.3d 408, 426.

2. Hagele has submitted facts sufficient to establish a prima facie case that Defendants knew their allegations that Hagele used Company funds for personal uses without their consent, recorded such personal uses of Company funds as business expenses and failed to timely make the required equalizing payments were false.

Defendants argue that they had a legal right to institute litigation against Hagele and that their threat to do so cannot constitute menace as a matter of law. *Miller v. Walden* (1942) 53 Cal.App.2d 353, 361. Citing to the case of *Leeper v. Beltrami* (1959) 53 Cal.2d 195, 204, some case have held that threats to take legal action cannot constitute menace or duress unless the party making the threat knows of the falsity of their claim. See *Odorizzi v. Bloomfield Sch. Dist.* (1966) 246 Cal.App.2d 123, 128. However, the more accurate statement of law is that the threat to take legal action may constitute ***menace*** if the party making the threat knows ***either*** the falsity of their claim ***or*** that the threatened complaint includes menacing allegations that are ***irrelevant*** to any good faith dispute between the parties, regardless of their truth or falsity:

> "When extortion is based on the fear of a criminal accusation or a threatened exposure of a deformity, disgrace or secret, there is no requirement that the victim be innocent of the crime or free of the deformity, disgrace or secret; the misconduct is founded in the use of fear to obtain the victim's money or property without the victim's free consent." *Tran*, *supra*, at 529.

"The distinction between the statutory claim based on menace and the common law claim discussed in *Fuhrman* and *Leeper* also explains why we are not persuaded by Nguyen's contention that a claim for civil extortion requires falsity because it "'is essentially a … form of fraud.'" " *Tran*, *supra*, at 532. "Under Civil Code section 1567, "[m]enace" is distinguished from fraud, which constitutes a distinct basis for seeking rescission of a transaction." *Tran*, *supra*, at 532. Accordingly, if the menacing allegation is irrelevant to any good faith dispute between the parties, then the threat to disclose it in an otherwise proper lawsuit in order to coerce a favorable settlement is unlawful menace, regardless of its truth or falsity.

Regardless of which standard applies, Hagele alleges that Defendants knowingly threatened to publish false allegations regarding his personal uses of Company funds ***without their consent in breach of his fiduciary duties*** (Complaint at ¶¶ 32-34, ***36-37***, ***40-41***) and knowingly threatened to publish false allegations regarding his failure to timely make the required equalizing payments ***in breach of his fiduciary duties*** (Complaint at ¶¶ ***35-37***, ***38-41***). In addition, Hagele alleged that Defendants knowingly threatened to publish irrelevant allegations regarding Hagele's recording of such personal expenditures as business expenses (Complaint at ¶¶ 32, 43-44). Although Hagele's Complaint characterizes this allegation as irrelevant, it was also false (Dec. of Hagele at ¶ 37) and thus constitutes menace. In addition, such threatened menacing allegation is irrelevant to any claims asserted in the Proposed Complaint and can thus support a rescission based upon menace, regardless of its truth or falsity. *Tran*, *supra*, at 529.

3. The allegations in Hagele's Complaint do not constitute admissions that the allegations contained in Defendants' Proposed Complaint are true.

Defendants contend that binding judicial admissions in Hagele's Complaint establish the truth of the allegations made in Defendants' Proposed Complaint:

> "[T]he Complaint specifically admits that Plaintiff would make personal expenditures on the company credit cards and then treat the personal expenditures as membership distributions and record them as business expenses that would be trued up through equalizing payments to be made by Plaintiff. Complaint ¶¶15, 51." (Defendants' MPA at pg. 11, lns. -6.)

What Defendants fail to address is that it is not Defendants' allegations regarding Hagele's use of Company funds for personal uses *per se* that were false. Instead, it is the additional allegations that Hagele did so without the Defendants' consent, and thus breached his fiduciary duties to them, that were false. These are the false allegations that support Plaintiff's statutory claim for rescission. (Complaint at ¶¶ 32-34, ***36-37***, ***40-41***); (Dec. of Hagele at ¶¶ 6-11, 38.)

Hagele certainly never admitted in his Complaint that he recorded his personal uses of Company funds as business expenses. Hagele merely alleged that "the allegation that Hagele recorded such personal expenditures as business expenses were irrelevant to any good faith dispute between Hagele and Kahn and Rideout." (Complaint at ¶ 43.) Although Hagele's

Complaint characterizes this allegation as irrelevant, it was also false (Dec. of Hagele at ¶ 37) and thus constitutes menace.

With respect to Hagele's alleged admission that he failed to timely make the required equalizing payments, Defendants contend:

> "Plaintiff also asserts that the allegations in the Proposed Complaint regarding his failure to make all of the equalizing payments were false. Complaint ¶52. But this assertion is belied by his own admission that Kahn's purchase price of $115,000 discussed in 2019 would "be deducted from Kahn's share of the equalizing payments Hagele would otherwise be obligated to make to Kahn" and that in January 2020 Hagele "deduct[ed] $115,000 from Kahn's share of the equalizing payments Hagele would have otherwise been obligated to make to Kahn." Complaint ¶¶21, 22."

Defendants are improperly conflating Hagele's refusal to pay the $100,000 that Kahn had previously deducted from Kahn's share of the equalizing payments Kahn claimed Hagele owed him in 2020, following Kahn's repudiation of the agreement to purchase an additional 10% membership interest in the Company (Complaint at ¶ 25) with an admission that Hagele failed to timely make all equalizing payments due. Hagele's refusal to concede the membership purchase agreement was not legally binding and return the $100,000 purchase price does not equate to a failure to timely make the required equalizing payments.

The truth is that, during the operation of the Company, Hagele continued to make the required equalizing payments timely and in full, including following Kahn's presentation of the 2020 "spreadsheet." (Complaint at ¶ 19, 38-39; Dec. of Hagele at ¶¶ 12-18, 39-41.) Prior to the threat to file the Proposed Complaint, neither Kahn nor Rideout ever complained about a lack of timely equalizing payments by Hagele. (Complaint at ¶ 19, 38-39; Dec. of Hagele at ¶¶ 12-18, 39-41.)

Defendants' reference to Kahn's January 2020 "spreadsheet" purportedly showing the parties' personal uses of Company funds and calculating the amount Hagele owed to "true up" the required distributions to each member for a period going back to 2012, does not establish as a matter of law that Hagele failed to timely make the required equalizing payments. The January 2020 "spreadsheet" contains no explanation of how Kahn determined the additional amounts Hagele allegedly owed Kahn and Rideout for a period going back to 2012. Kahn had never

previously informed Hagele of these amounts allegedly owing. Neither Kahn nor Rideout ever complained about a lack of timely equalizing payments by Hagele for the eight (8) year period covered by the "spreadsheet." (Dec. of Hagele at ¶ 17.) Despite Hagele's inability to understand the "spreadsheet" or understand how Kahn came up with the amounts he allegedly owed for periods for which Kahn had previously requested and received equalizing payments from him, Hagele trusted Kahn and promptly paid the amounts requested to Kahn and Rideout. That is why there is no subsequent correspondence from Defendants regarding these amounts Hagele allegedly owed. (Dec. of Hagele at ¶ 18.)

4. Hagele has submitted sufficient facts to support a prima facie case that he would not have consented to the transaction in the absence of Defendants' threat to publically disclose the false allegations accusing him of unethical and criminal conduct.

Civil Code § 1568 provides: "Consent is deemed to have been obtained through one of the causes mentioned in the last section only when it would not have been given had such cause not existed." "In order to establish extortion, "the wrongful use of force or fear must be the operating or controlling cause compelling the victim's consent to surrender the thing to the extortionist. [Citation.]" " *Chan v. Lund* (2010) 188 Cal.App.4th 1159, 1171. As explained by the court in the case of *In re Marriage of Gonzalez* (1976) 57 Cal.App.3d 736, this is a subjective standard:

> "There is no legal standard of resistance with which the person acted upon must comply at the peril of being remediless for a wrong done to him, and no general rule as to the sufficiency of facts to produce duress. The question in each case [is], Was the person so acted upon by threats of the person claiming the benefit of the contract, for the purpose of obtaining such contract, as to be bereft of the quality of mind essential to the making of a contract, and was the contract thereby obtained? *Hence, under this theory duress is to be tested, not by the nature of the threats, but rather by the state of mind induced thereby in the victim. The means used to produce that condition, the age, sex, state of health, and mental characteristics of the alleged injured party, are all evidentiary, merely, of the ultimate fact in issue, of whether such person was bereft of the free exercise of his will power. Obviously what will accomplish this result cannot justly be tested by any other standard than that of the particular person acted upon. His resisting power, under all the circumstances of the situation, and not any arbitrary standard, is to be considered in determining whether there was duress.*" *In re Marriage of Gonzalez*, *supra*, at 744 (emphasis in original).

In the case at bench, Hagele submitted sufficient facts to support a prima facie case that he would not have consented to the transaction in the absence of the threats to publically disclose the false allegations accusing him of unethical and criminal conduct. Hagele submitted sufficient facts to support a prima facie case that fear of the public disclosure of the false allegations was the operating or controlling cause compelling his submission. Hagele submitted facts sufficient to make a prima facie case that he believed he had no reasonable option other than to submit to Defendants' extortionate demands in order to avoid public disclosure of the false allegations. (Dec. of Hagele at ¶¶ 44-49.) At this stage in the proceeding, this is all he is required to do.

Defendants' argument that Hagele's reputation was already so tarnished from the media attention resulting from the criminal charges against him in 2018 that any damage resulting from the publication of their false allegations would be *de minimus* misses the mark. As explained in Hagele's Complaint and Declaration, it was the desire to repair and avoid further harm to his reputation following the criminal charges against him in 2018, of which Defendants were well aware, that made Hagele particularly vulnerable to menace. Indeed, Defendants' evidence merely lends credence to Hagele's fear that the public filing of the Proposed Complaint could lead to possible media scrutiny as well as criminal and California State Bar investigations, with the resultant loss of his employment. (Dec. of Hagele at ¶¶ 44-49.)

5. The litigation privilege precludes *liability for damages in tort*, and does not apply to the instant statutory action for rescission based upon menace, which sounds in contract.

Defendants argue that Hagele's claim for rescission is barred by the litigation privilege. This argument fails because the litigation privilege precludes ***liability for damages in tort***, and does not apply to a statutory action for rescission, which sounds in contract. *Tran v. Nguyen* (2023) 97 Cal.App.5th 523, 534; *Weeden v. Hoffman* (2021) 70 Cal.App.5th 269, 288. In *Weeden*, the defendant recorded an abstract of judgment that fraudulently stated the underlying judgment included an award of monetary damages, thereby creating a lien against the property. The plaintiffs filed a complaint alleging claims for quiet title, cancellation of an instrument and slander of title. The trial court granted defendant's anti-SLAPP motion to strike, finding all three claims were barred by the litigation privilege. The court of appeal in *Weeden* reversed as to the claims for quiet title and cancellation of an instrument, holding:

> "However, we further conclude that the litigation privilege provides a defense to only one of the three pleaded causes of action. The litigation privilege shields a defendant from liability only for tort damages that are based on litigation-related communications; the Weedens' causes of action for quiet title and cancellation of an instrument do not seek to hold Hoffman liable for tort damages but, rather, seek to ascertain the interests of the parties with respect to a parcel of real property and to determine the validity of an instrument. The litigation privilege does not shield Hoffman from these claims." *Weeden*, *supra*, at 276.

" 'The principal purpose of [the litigation privilege] is to afford litigants and witnesses [citation] the utmost freedom of access to the courts without fear of being harassed subsequently *by derivative tort actions.*' " *Weeden*, *supra*, at 288 (emphasis in original). "Although originally enacted with reference to defamation [citation], the privilege is now held applicable to any communication, whether or not it amounts to a publication [citations], and *all torts except malicious prosecution*. [Citations.]" *Weeden*, *supra*, at 288 (emphasis in original). "As indicated by these authorities, the litigation privilege precludes liability for damages in tort, and generally is not extended to liability based on a claim for breach contract, for example." *Weeden*, *supra*, at 288. "[T]he litigation privilege does not provide a defense to a cause of action that, by its nature, does not seek to impose *tort liability for damages* on a defendant based on his or her litigation related publications." *Weeden*, *supra*, at 289 (emphasis in original). "Other courts have indicated that *nontort damage remedies* remain available to litigants even where a claim for tort damages is precluded by the litigation privilege." *Weeden*, *supra*, at 290 (emphasis in original).

"We further conclude that at least two of the pleaded causes of action that the Weedens assert—the quiet title claim and the claim for cancellation of an instrument—are not subject to the litigation privilege." *Weeden*, *supra*, at 289. "A cause of action to quiet title is clearly not a tort claim, and it does not seek to hold a defendant liable for damages." *Weeden*, *supra*, at 291. "If Hoffman were correct that litigation privilege could be used to bar claims seeking declaratory relief—such as claims to quiet title—where a defendant has recorded a judgment of dubious validity, bona fide purchasers like the Weedens would be left without *any* remedy to clear title to their property. We reject such a result." *Weeden*, *supra*, at 292 (emphasis in original).

"The same analysis applies to the Weedens' cause of action in which they assert a claim for cancellation of a written instrument." *Weeden*, *supra*, at 292. "A claim for cancellation of

written instrument is an equitable claim that is codified in Civil Code section 3412. This claim allows a plaintiff to obtain cancellation of an instrument that creates a cloud on the plaintiff's title." *Weeden*, *supra*, at 292. "Cancellation of an instrument is essentially a request for rescission of the instrument." *Deutsche Bank National Trust Co. v. Pyle* (2017) 13 Cal.App.5th 513, 523. "Such a claim, by its definition, does not seek to hold the defendant liable for tort damages." *Weeden*, *supra*, at 292. "Therefore, the litigation privilege also does not preclude the Weedens' claim for cancellation of an instrument." *Weeden*, *supra*, at 293. "The question at issue here is not whether the conduct underlying the causes of action is of the type that is privileged. Rather, the question at issue is a preliminary question, i.e., whether the plaintiffs are attempting to hold the defendant *liable for damages in tort* based on a "publication or broadcast" made in the course of a "judicial proceeding" " *Weeden*, *supra*, at 292, fn. 7 (emphasis in original).

In the case at bench, Hagele seeks statutory rescission of the transaction on the grounds it was procured by menace under Civil Code § 1570. A statutory action for rescission based upon menace is ***not*** a tort claim and is accordingly not barred by the litigation privilege under Civil Code § 47. "But that conclusion does not end our analysis because such a cause of action, which entitles a party to seek rescission of the consent underlying a transaction, sounds in contract rather than tort." *Tran v. Nguyen* (2023) 97 Cal.App.5th 523, 534; citing *O'Neill v. Spillane* (1975) 45 Cal.App.3d 147, 158–159 [rescission is a contractual remedy which allows for the recovery of consequential damages, but not damages for emotional distress]. "As we have already explained, the civil remedy for the extortion is contractual in nature and does not support a claim for emotional distress damages." *Tran*, *supra*, at 535.

As a result of the contractual nature of a statutory action for rescission, courts have uniformly held that an action seeking rescission of a contract constitutes an "action on a contract" entitling the prevailing party to an award of contractual attorney's fees under Civil Code § 1717. "Courts have determined that actions for rescission or cancellation of a contract may be considered actions "on a contract" for purposes of section 1717." *Reyes v. Beneficial State Bank* (2022) 76 Cal.App.5th 596, 619. Even where the rescission is sought due to fraud, the rescission action is still considered to sound in contract rather than tort. "However, where the plaintiff's claim instead seeks rescission based on fraud, the courts have concluded such claim does sound in contract and permits the award of fees." *Super 7 Motel Associates v. Wang* (1993) 16

Cal.App.4th 541, 549; see also *Star Pacific Investments, Inc. v. Oro Hills Ranch, Inc.* (1981) 121 Cal.App.3d 447, 461.

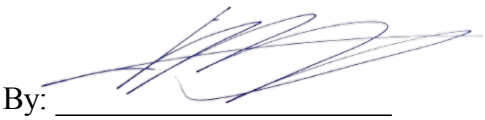
A statutory action for rescission based upon menace is akin to an action for declaratory relief that a contract is rescinded or an action to cancel an instrument on the grounds it is voidable. *Deutsche Bank, supra,* at 523. Such an action is not barred by the litigation privilege, whether based upon fraud or otherwise, because it is does not seek to hold the defendant *liable for tort damages*. *Weeden*, *supra*, at 290-293. It merely seeks a judicial declaration that the contract is rescinded and related equitable relief under Civ. Code § 1692.

Without any discussion, Defendants' cite to the case of *Edwards v. Centex Real Estate Corp.* (1997) 53 Cal.App.4th 15, for the proposition the litigation privilege bars an action for rescission based upon menace. Without much explanation, the court in *Edwards* held as follows:

> First, appellants insist that the litigation privilege is inapplicable to the cause of action to rescind the releases because that cause of action assertedly sounds in contract and is therefore not the kind of derivative tort cause of action which the privilege is intended to prevent. The contention is meritless. Appellants' cause of action for rescission seeks to void the releases based upon respondents' fraud. The gravamen of the action therefore sounds in fraud, not in contract. *Edwards*, *supra*, at 40.

In light of the contrary holdings in *Tran*, *Weeden* and the other cases cited above, the holding in *Edwards* in this regard is of questionable validity. In any event, regardless of the validity of the holding in *Edwards*, it has no application to the case at bench, which seeks statutory rescission based upon menace, ***not fraud***. "Under Civil Code section 1567, "[m]enace" is distinguished from fraud, which constitutes a distinct basis for seeking rescission of a transaction." *Tran*, *supra*, at 532.

DATED: July 29, 2024



By: _____
Ryan A. Kent
Attorney for Plaintiff
MICHAEL HAGELE